Conversion Rate Optimization – The Plug to a Leaky Bucket

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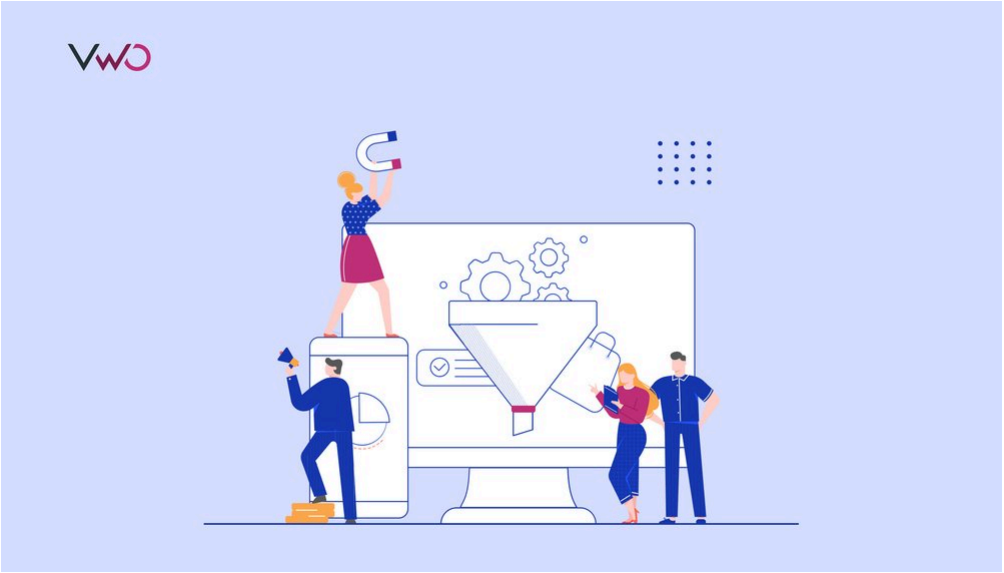

As a business owner in the digital age, it's almost impossible to not hear terms like cart abandonment, bounce rate, and churn rate. They are inevitable events of any business, taking place at different stages of the sales cycle. If the ultimate goal of a company is to successfully fill a bucket, then these events are the leaks in the bucket and can be aggregated under an umbrella term called leaky bucket syndrome.

No business is 100% efficient, so leaky bucket syndrome is obvious and natural. In business terms, the leaky bucket is equivalent to customer drop-off at different stages of the conversion funnel. However, if the events that lead to customer drop-off are left unmonitored, then these leaks from the conversion funnel might affect the business sustenance or the profit potential.

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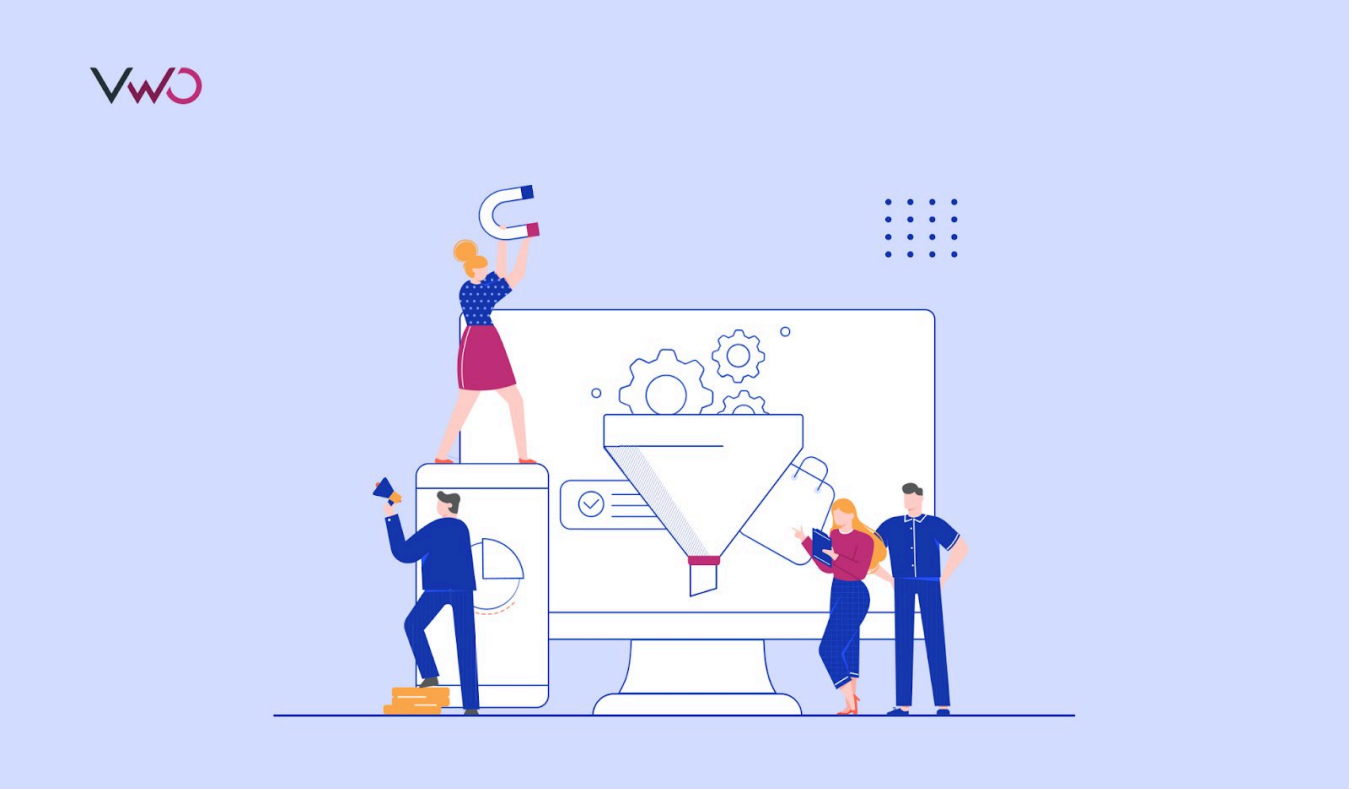
So let's get into the challenges presented by leaky bucket syndrome and how they impact various functions of a business. Also, we will look at the solution to overcome the leaks that take away precious customers.



Leaky bucket syndrome – the challenge

Most companies do not have to cut operational costs or reduce pricing but tighten the leaks at various points of the conversion funnel. The significance of this can be understood from the statistics presented by Zendesk, which expresses that one bad experience defects 50% of customers to competitors. The unmonitored leaks are a threat to business performance.

Also, it is crucial to note that the leaky bucket syndrome affects the entire organization's performance. Here is how leaky bucket syndrome challenges different functions in an organization.

Demand generation

This team focuses on the top of the conversion funnel to create awareness and bring qualified leads to the table. A leak for them is a low CTR or a visitor not signing up as a lead after going through the product information. For the team, a lot depends on first impressions. A leak means losing a customer even before exposure to the product or service capabilities.

To counter leaks, the demand generation team tracks each micro point of the journey a customer takes from the top to the middle of the funnel. The team increases the content creation rate to find which content is enticing users. Even the experimentation to create better landing page experiences with attractive call-to-actions becomes a part of the daily schedule.

With an increase in the leaks, the pressure on the team mounts and affects the regular flow of work.

Sales

A leak for the sales team is an opportunity for competition. When a regular customer drops off, it brings introspection. If reasons are related to the service aspect, massive efforts go into convincing the visitor to not move on.

A customer drop-off can make a sales team invest talent in finding faults and changing things in a short period. Also, it might lead to an overhaul in the sales process. The whole process becomes reactive, which prevents planned and systematic implementation.

Product design

Their ultimate goal is to create a seamless flow for the end user with ease in searchability on the digital touchpoint. Significant leaks or customer drop-off for a product design team brings many questions.

A leaky bucket means the product design team has to think about the effectiveness of the existing consumer journey, find flow-disruption points, and map the correct consumer journey. The internal communication for an end-user on the digital touchpoint comes under the scanner. Also, the analysis goes to the extent of considering whether the product is a market fit or not.

The product design team has to invest time and get back to the drawing board to align with user expectations.

Content marketing

This team is in charge of external communication. They are responsible for empowering potential leads with knowledge and best practices to make better decisions. A leak for them is a bounce rate, low CTR for the intended CTAs, and low qualified leads.

A leak means that content is not serving the intent of the user or it has outdated information. Also, an unmonitored content marketing campaign raises low-quality leads. Thus, the content team has to spend significant time pruning and auditing the published content to reduce leaks. It affects the delivery time of new content and projects.

Performance marketing

For performance marketers, a return on ad spend (ROAS) is a metric that decides the fate of marketing campaigns. Their work involves immaculate paid campaigns with a relevant target keyword list and corresponding landing pages.

Negative ROAS is a symptom of an unmonitored leaky bucket. In response, a performance marketing team either stops targeting low-performing keywords or reduces the bid for them in campaigns. The experiences on landing pages are analyzed to make them relevant for keyword intent.

Also, leaks compel an increase in remarketing budget, as more customers drop at different stages. Thus, leaks accelerate the cash burn rate, which in turn affects the sustainability of the business.

The unmonitored leaks and lack of proactive experimentation lead to reactive measures and workflow disruption for any function. On top of it, the revenue gets a negative impact with an acceleration in the cash burn rate.

But every problem comes with a solution. If there are leaks, then there is also a plug.

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CRO – the solution

The classic marketing strategy of a brick-and-mortar store is creating a power wall, which is a product display visible from the store entry point. A power wall is about convincing visitors that great products are available at the best possible deals. In today's age of digital stores, an owner creates the landing page of the store to entice visitors towards the products and offer prices in the first fold.

Though the modes of business change, the constant effort to crack the code of attracting and convincing customers will go on forever. Similarly, the efforts to increase conversion and fight leaky bucket syndrome is constant with change in tools and processes.

Conversion Rate Optimization (CRO) is one must-have tool in this digital era, where data collection and analysis is an integral part of any organization. It involves experimenting with the digital touchpoints, analyzing their impact on the user experience, and making data-driven improvements that make the process comfortable, and even delightful, for the end user. It's the plug to the leaky bucket.

CRO tools help in taking a proactive approach to monitoring and reducing leaks. The insights on customer behavior and hypothesis validation reduce the risk of sudden drop-off that needs urgent attention. A good CRO tool and process assimilate with the regular work such that bandwidth gets balanced between the new projects and the optimization of the old ones.

CRO is vast and has many techniques with A/B testing being one of the prominent ones. Running A/B tests easily without too much reliance on the development teams is every marketer's dream scenario. This brings us to the curious case of Bear Mattress.

Bear Mattresses sweet sixteen

Bear Mattress, the New Jersey-based sleep wellness product company wanted to increase its revenue. They zeroed in on VWO to perform multiple tasks like insight extraction and experimentation. With a dashboard interface to handle multiple CRO tasks, Bear Mattresses first utilized VWO Insights to know the current user interaction on their platform. Based on the insight, the team was able to deduct that there was a problem with cross-sell flow. The team formulated a hypothesis and redesigned the cross-sell section to create a variation for an A/B test on VWO.

The test ran for 19 days, and the variation outperformed the original structure. Utilizing VWO, Bear Mattress increased revenue by a staggering 16%. .

Conclusion

If you're a business owner, you're going to face the leaky bucket syndrome at some point in your digital journey. However, acquiring new traffic to compensate for the lost traffic in the leaks is an unsustainable approach. Improving the conversion rate helps a business in the long term. Having a CRO platform that quickly assimilates into existing workflow with less involvement of human resources is the need of the hour. Remember, a good CRO platform aids end-to-end optimization and does not just act as a step to achieving one desired goal.

VWO is a leading experimentation platform that combines the power of behavioral analysis with testing to ensure that you're empowered to preempt and combat the leaky bucket syndrome successfully. to check it out for yourself.

Categories:

Conversion Rate Optimization

I’m a content marketer at VWO, reading and writing on topics like behavior analytics, conversion rate optimization, and experimentation. Prior to VWO, I built and managed my own website where I discussed business growth and career. When I’m not at my desk, you’ll find me exploring nature trails, cycling through the countryside, or seeking out new physical challenges—those are my ideas of a good time! Want to start a conversation with me? Just mention BIRDS, and you’ll have my undivided attention.